The 6:15

FRIDAY · OCTOBER 16, 2026 NO. 26

THE BOARD

CALENDAR · NEXT 10 DAYS

Sat 10/17	Northwestern at Michigan State, East Lansing (Wildcats 4-1, 1-1 Big Ten).
Wk of 10/19	Heaviest earnings week of the quarter. Netflix ~Tue 10/20 **(date per TipRanks/MarketBeat, not Netflix-confirmed)**, consensus EPS $0.84 vs. the company's own $0.82 guide; Tesla reports within the week per one tracker, exact day not verified this run.
Standing	FOMC Oct. 27-28, cut odds still 15%-22% across thinly-traded prediction markets, little moved by this week's hot CPI/PPI; OPEC+ next meets Nov. 1 after holding Nov. output flat at a combined 31.01m bpd for the seven core members (Oct. 4 decision, unchanged); Nov. 3 midterms, polling as of Oct. 13 favoring Democrats for the House and in range on the Senate **(single-outlet framing; pollster quality described as degraded this cycle)**; Trump's Oct. 8 pledge to hold off new Iran strikes until after the midterms remains in force — no US/Israeli strike on Iranian territory logged for Oct. 13-14 (GlobalSecurity, "Day 229"). No frontier AI release, rocket launch, or VC mega-round verified this run — fifth straight issue with nothing confirmed in that lane.

METRICS · ~6:10A ET; NO ICE/NYMEX SETTLE POSTED YET PRE-NY-OPEN

Oil / rates / dollar	Brent (BZ=F) $105.72, -0.19% (6:10a); WTI (CL=F) $95.84, -0.68% (6:11a) — spread ~$9.88, narrower than the ~$11 spread flagged issue No. 25. 2Y 4.77% / 10Y 5.10% / 30Y 5.43% (Treasury.gov, Thu 10/15 close) — the curve has now fallen three straight sessions (10Y: 5.21% Tue → 5.19% Wed

	(CPI day) → 5.10% Thu (PPI day)). DXY 101.63, -0.42% (6:11a).
Equities / vol / gold / gas	S&P 500 futures (ES=F) 7,796.75, +0.07%; Nasdaq 100 futures (NQ=F) 30,073.75, -0.23% (both 6:11a). VIX 16.18, -1.70% (~6:06a). Gold (GC=F) $4,199.90, +0.71% (6:11a). AAA national retail gas $4.3271/gal today, down from $4.3718 a week ago.
Asia closes / Europe	Nikkei 225 65,324.29 (+1.39%); Hang Seng 24,186.83 (+0.52%); Shanghai Composite 3,716.28 (+0.24%). Europe mid-session, not closed: FTSE 100 10,830.68 (-0.09%, ~11:07a London); DAX 25,590.92 (+0.82%, ~12:07p Frankfurt).

HORMUZ COUNTERS

Exports	Kpler: 8.5m bpd through the strait, week ended Oct. 12, ~40% below pre-war baseline — a throughput measure, not a transit count; PortWatch's transit figure not refreshed this run and not repeated.
Strikes	A container ship sank Oct. 14 after an unidentified-projectile strike, crew evacuated, no injuries (CNBC/IMO); Iran's mine claim is disputed by maritime security firm Marisks **(no independent confirmation)**. CNN: six vessels struck in a single day Oct. 11, the highest one-day count of the war. IMO month-to-date: 20+ vessels struck in Hormuz/the Gulf/Gulf of Oman, two sailors missing, over a dozen injured.

Methodology: Kpler's export-volume estimate and the IMO/CNN strike counts measure different things over different windows (flows vs. incidents); reported side by side, never averaged or differenced.

TRANSACTIONS

Yankees	Season over at 93-68, 2nd AL East **(continuity)**; no free-agent or trade moves confirmed this run.
Knicks	Preseason concluded Oct. 15; only confirmed result a 120-97 loss at Philadelphia (Oct. 5). Washington, Minnesota and twice vs. Toronto not verified this run.
Northwestern	No new game since the Oct. 10 Ball State win (45-14); next at Michigan State, Sat. 10/17.

LEAD

INFLATION · RATES · OIL

Two straight hot inflation prints, and the bond market shrugged — Treasury yields fell through both

September CPI and PPI both ran hotter than consensus this week, and both say the same thing about why: a war-driven energy shock, not demand, is doing the damage. CPI, released Wednesday, rose 3.7% year-over-year against a 3.6% consensus, with the 0.6% monthly gain matching estimates; energy prices jumped 5.2% on the month and are up 20.4% year-over-year, and gasoline alone accounted for more than half of the headline's monthly rise, per the BLS. [fact] PPI, released Thursday, accelerated sharply: final demand rose 1.3% month-over-month and 6.3% year-over-year — up hard from August's already-hot 0.4%/5.4% reading — while the core measure (less food and energy) rose 0.7% monthly and 5.0% year-over-year. [fact, BLS primary source] Equities did not like the CPI print: the S&P 500 closed Wednesday at 7,718.94, down 1.11%, the Nasdaq fell 1.88%, and eight of eleven S&P sectors declined, led by a 2.6% drop in information technology [fact, single-sourced via secondary market blogs, exact index levels not cross-confirmed by a wire service].

The mechanism tying the two prints together is the Houthi campaign against Saudi oil infrastructure covered in this brief's last two issues: strikes on Aramco's Dhahran headquarters and on Riyadh's main airport have pushed crude and refined-product costs higher globally, and that's showing up directly in CPI's energy line and in the kind of diesel-and-goods surge that drove August's PPI print before this week's acceleration. [read] What's not behaving the way a textbook

would predict is the bond market. Both prints came in hot and accelerating, which should push yields up on reduced rate-cut expectations or a growth/inflation risk premium — instead, the entire curve has fallen for three consecutive sessions: the 10-year eased from 5.21% Tuesday to 5.19% on CPI day to 5.10% on PPI day; the 2-year from 4.79% to 4.82% to 4.77%; the 30-year from 5.56% to 5.52% to 5.43% (Treasury.gov). [fact]

Read: the bond market appears to be treating this inflation overshoot as a transient, supply-side shock tied to a war rather than a demand problem the Fed needs to fight — consistent with prediction-market odds of an October 27-28 rate cut sitting unmoved in the 15%-22% range through both releases, which is itself a signal that almost no one expects the Fed to react to these prints in either direction. [read] The more straightforward read is simpler: a direct-hit campaign against the world's largest oil exporter's capital and headquarters complex is also a risk-off event, and duration demand from that fear can swamp an inflation-driven selloff in the same two sessions. [read] Those two reads aren't mutually exclusive, and they point the same direction for now: both argue against a Fed reaction, just for different reasons — one because the inflation is transient, the other because growth risk is rising faster than price risk. The distinction matters for how long the rally in duration lasts. If the "transient shock" framing is right, yields should snap back once the Houthi campaign cools and energy pass-through fades from the data, probably within one or two more CPI cycles. If it's really a growth/war scare, the rally has further to run, and equities — already down hard on CPI day — have more room to fall than the one-day move so far suggests.

Oil itself isn't confirming further escalation this morning — Brent at $105.72 and WTI at $95.84 are both down slightly and off this week's highs — which argues for the risk-off/transient-shock read over a renewed supply-shortage one, at least as of this morning's price action. The Brent-WTI spread has also narrowed to roughly $9.88 from the ~$11 level flagged two issues ago, which on its own would normally read as the Gulf-specific war premium easing relative to the broader crude complex — though a single morning's narrowing, pre-settle, isn't enough to call that a trend. Watch: whether Saudi Arabia's promised "firm" response to the Houthis widens the war in a way that forces the "transient" framing to break, whether the curve keeps falling or stabilizes once today's settle prices are in, and whether October's CPI print, when it lands next month, still shows energy doing all the work.

POLITICS

Midterm positioning firmed modestly this week without a single decisive data point. Polling averages reviewed Oct. 13 show Democrats favored to retake the House and within range on the Senate — a shift analysts say would have looked unlikely at the start of this cycle — but the same coverage flags a degraded polling environment this cycle: a proliferation of low-quality and AI-generated polls, at least one fraudulent pollster exposed, and thinning state-level polling as local outlets cut survey budgets. [fact/flag, single-outlet framing of the averages] All 435 House seats, 35 of 100 Senate seats and 39 governorships are on the Nov. 3 ballot. Voters are polling as most focused on the Iran war, immigration, tariffs, gas prices and affordability generally — a list that puts this week's energy-driven CPI print directly in the midterm conversation. [fact] The party controlling the White House traditionally loses

ground at the midterm; Republicans hold narrow majorities in both chambers heading in, which is the baseline the Oct. 13 polling average is measured against. [fact] No fresh reporting on a federal funding lapse was located this run; the FY2027 stopgap flagged as resolved in issue No. 25 continues to hold, and nothing in this run's research points to it coming back into play before the election.

BUSINESS

Q3 bank earnings season is now essentially complete, and the split verdict flagged in the last issue held. On the beat side: Goldman Sachs posted EPS of $17.01 on net revenues of $18.68bn, well above a roughly $13-15 consensus range across sources, with equities trading revenue surging 72% to $6.44bn (SEC 8-K). [fact] Citigroup beat too — $5.2bn net income, $2.85 diluted EPS, revenue up 8% to $23.85bn against a $23.72bn estimate — though the comparison is flattered by a $714mn goodwill impairment in the year-ago quarter tied to the Banamex sale, and the stock fell 2.4% on the report anyway. [fact/flag] BlackRock beat on both lines: adjusted EPS $15.93 against a roughly $14.13-14.25 consensus, AUM near $15.5 trillion, and net inflows of about $205bn versus ~$192bn expected. [fact] Morgan Stanley also beat — EPS $3.03 against a $2.92 estimate, with equities trading revenue reportedly up 41% to $5.8bn — but that figure comes from a single outlet and wasn't corroborated by a second source this run. [flag]

On the miss side: Bank of America's profit fell to $6.9bn from $8.3bn a year earlier, EPS $0.91 versus $1.04, weighed down by a $1.2bn anti-money-laundering charge; sources disagree on whether revenue rose 3% or fell 4.3%, so neither figure is adopted here. [fact/flag] JPMorgan, reported in the prior week, earned $15.3bn, up

6% but short of a roughly $16.3bn forecast, with fixed-income trading revenue down 4% to $5.4bn — the one large-cap disappointment of the season alongside BofA. [fact] Wells Fargo's beat ($6.0bn net income, $1.87 EPS vs. $1.85 est.) was covered in issue No. 25 and isn't repeated. Ahead: Netflix reports Q3 around Oct. 20 (date not company-confirmed), guiding to $0.82 EPS against a $0.84 consensus and $12.86bn in revenue guidance, after a Q2 beat ($0.80 vs. $0.79 est.) on revenue that itself missed estimates slightly.

GEOPOLITICS

The Houthi campaign against Saudi Arabia that led the last two issues is still live and still escalating, though nothing today tops Tuesday's Aramco hit for severity. Reuters sourcing on the Dhahran strike adds detail not in issue No. 25: a company source says a ballistic missile hit an office tower inside Aramco's headquarters complex, damaging its top three floors, while the Saudi Energy Ministry's public line remains a "limited fire" with no injuries or deaths; operations are continuing normally, with some employees asked to work from home. [NEW, fact/flag, company-source detail vs. ministry's public framing diverge on severity] Riyadh's King Khalid International Airport remains closed to commercial traffic under a NOTAM running at least through Oct. 17. [fact] The Houthis have widened their stated target list beyond Aramco's Dhahran HQ to the Rabigh refinery, a claim Saudi authorities haven't confirmed. [NEW, flag, single-sourced via Houthi statement] Al Jazeera's Oct. 15 battlefield roundup describes fighting in Yemen itself intensifying on the ground, separate from the missile campaign on Saudi cities. [fact]

On the broader Iran war: GlobalSecurity's Day 229 tracker (covering Oct. 13-14) logs no new US or Israeli strike on Iranian territory, consistent with Trump's Oct. 8 pledge to hold off until after the midterms; the Gulf blockade remains "in full force and effect" by the same account. [fact, single-sourced aggregator] ACLED's tracker puts cumulative US-Israeli strike events on Iran at 314 and Iranian counter-strike events at 304 since the war's Feb. 28 start, with just two new events logged in the most recent two-day window — both figures from an aggregator, not cross-confirmed by a primary source

this run. [flag] Carrier and troop-buildout reporting (a third carrier group, roughly 9,000 additional troops) is unchanged since early October and not refreshed by new reporting this run. Taken together, the lull in direct US-Iran strikes alongside an intensifying Saudi-Houthi air war is the clearest sign yet that the Nov. 3 self-imposed deadline is actually holding Washington back from the main front even as a connected proxy fight escalates sharply — the kind of divergence that keeps oil bid even while headline US-Iran escalation risk looks, by this one metric, lower than two issues ago. [read]

IRAN & HORMUZ

Beyond the Board's strike tally, this week's two most significant new Hormuz data points both carry named methodology, as this brief requires. Kpler's ship-tracking puts crude export volumes through the strait at 8.5 million barrels per day for the week ended Oct. 12 — about 40% below the pre-war baseline — the freshest throughput read available this run, replacing the now-stale PortWatch transit count carried in prior issues. [NEW, fact] Separately, CNN's analysis flags Oct. 11 as the single worst day of the war for shipping incidents: six commercial vessels reportedly struck in and around the strait in 24 hours, the highest count since fighting began. [NEW, fact] The IMO's running monthly tally — more than 20 vessels struck in Hormuz, the Persian Gulf and the Gulf of Oman since Oct. 1, two sailors missing, over a dozen injured — provides the casualty context neither Kpler's flow data nor CNN's single-day count capture; none of the three should be averaged or differenced against the others, as they measure different things over different windows. [fact]

The Oct. 14 container-ship sinking remains a live dispute over mechanism, not just source count: Iran's military says the vessel struck a mine, while maritime security firm Marisks says it has no independent evidence to support that account, leaving the cause of the sinking unresolved as of this writing. [fact/flag] No update on Araghchi's promised "definitive" response to Washington's nuclear counterproposal — flagged as overdue in issue No. 25 — was located this run; it remains a gap, not a resolution. [flag] Stale background not refreshed this run and therefore not repeated in full: Breakwave's hull-value war-risk indications (last published Sept. 8) and Signal Ocean's VLCC-positioning data (last published mid-July) — both over a month old and carried forward only as context in prior issues.

Net effect on the physical oil market: Kpler's 8.5m bpd read, if sustained, is a genuine supply reduction rather than a pricing anomaly — roughly 5.5m-6m bpd of flow missing versus a normal ~14m bpd Hormuz baseline — and it sits alongside, not in place of, the shipping-incident risk the IMO and CNN figures capture. A trader pricing Gulf crude off Kpler's number alone would be pricing a real barrel shortfall; one pricing off the incident count alone would be pricing insurance and diversion risk on top of that shortfall. Both are live in the market simultaneously, which is this brief's standing reason for refusing to net them into one figure. [read]

SPORTS

Yankees	Season over at 93-68, 2nd AL East; no reported moves in the last 24 hours.
Knicks	Preseason concluded Oct. 15; only confirmed score a 120-97 loss at Philadelphia (Oct. 5), rest of the slate not verified this run.

Northwestern	4-1 overall, 1-1 Big Ten, idle since the Oct. 10 win over Ball State; at Michigan State Sat. 10/17.

Continuity. Technology is cut for a fifth straight issue — nothing independently confirmed on frontier AI, rocket launches or VC mega-rounds this run. The PortWatch Hormuz-transit figure is retired in favor of Kpler's fresher export-volume read; war-risk-premia and dark-tanker figures are dropped rather than re-run stale, per the no-repetition rule, and should be refreshed next run if a new primary read surfaces. The Aramco/Riyadh-airport thread carries forward only where new detail (Reuters' ballistic-missile sourcing, the Rabigh threat) emerged; the rest is deliberately not re-told. Watch for next issue: Saturday's Northwestern-Michigan State result; Knicks' regular-season opener; Saudi Arabia's "firm" response and whether it widens the war; retail sales and the Oct. 10-week jobless claims figure, neither confirmed this run; Netflix's actual report date and print around Oct. 20.

Unverified figures are marked in red above. Single- or secondary-sourced this issue: Wednesday's exact S&P/Nasdaq closing levels (secondary blogs, not wire-confirmed); Morgan Stanley's 41% equities-trading-revenue figure; Bank of America's revenue growth/decline (sources conflict, neither adopted); the Houthi claim on Rabigh refinery; ACLED's cumulative Iran-war strike totals; the mine-vs-projectile cause of the Oct. 14 container-ship sinking; Netflix's Oct. 20 report date; Tesla's exact report day next week. Retail sales and the Oct. 10-week jobless claims figure were not confirmed this run and are not estimated. Nothing was filled from memory.